

Economics

105

Studying how societies produce, distribute, and consume resources

Economics studies how individuals, businesses, and societies allocate scarce resources, examining production, distribution, and consumption of goods and services.

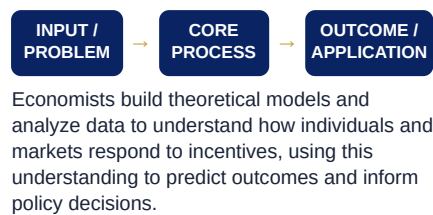
● DEFINITION

The social science that studies the production, distribution, and consumption of goods and services, and the factors that influence these processes.

● WHY IT MATTERS

Economic understanding informs government policy, business strategy, and personal financial decisions, shaping how resources are allocated across society.

● WORKING PRINCIPLE



● QUICK FACTS

- ▶ The Nobel Prize in Economic Sciences has been awarded since 1969, later than the original Nobel Prize categories
- ▶ Behavioral economics research has shown people often make decisions based on psychological biases rather than pure rational calculation

● KEY TERMS

- Supply and demand
- Microeconomics
- Macroeconomics
- Market equilibrium

● CORE CONCEPTS

- ▶ Supply and demand
- ▶ Microeconomics and macroeconomics
- ▶ Market equilibrium
- ▶ Fiscal and monetary policy

● APPLICATIONS

- ▶ Government economic policy design
- ▶ Business market strategy
- ▶ Central bank monetary policy
- ▶ International trade analysis

● ADVANTAGES

- ▶ Provides frameworks for understanding complex societal systems
- ▶ Informs evidence-based policy decisions
- ▶ Broad career applicability

CAREER OPPORTUNITIES

Economist, Policy analyst, Financial analyst, Economic researcher

RESEARCH AREAS

Behavioral economics, Development economics, Environmental economics

● REAL-LIFE EXAMPLES

- ▶ Interest rate decisions by central banks
- ▶ Minimum wage policy debates
- ▶ International trade agreements

● LIMITATIONS

- ▶ Economic models often simplify complex human behavior
- ▶ Predictions can be difficult given numerous interacting variables
- ▶ Different economic schools of thought can reach different conclusions

INDUSTRY APPLICATIONS

Government, Banking and finance, International organizations, Corporate strategy

FUTURE SCOPE

Growing use of big data and behavioral insights is refining economic models beyond traditional theoretical assumptions.

● CURRENT TRENDS

Growing integration of behavioral psychology insights into economic models, moving beyond purely rational-actor assumptions.

● SUMMARY

Economics studies how societies allocate scarce resources, informing government policy, business strategy, and everyday financial decisions.